

Positioned for Structural Growth from 2H26

We reiterate our positive view on Moutai's shares after 2025 and 1Q26 results. We view the share price pullback as an opportunity to buy into the structural growth that may drive earnings turnaround in 2H26. We also highlight Moutai's near-term sentiment drivers including its good fit into the "China luxury recovery" narrative as well as its defensiveness to raw material price shocks. We update our model.

Part of China's recovering luxury market. Recent results by the luxury brands show stabilizing demand and sentiment for luxury goods in China, in our view. We view Moutai as a good proxy of China luxury consumption. In fact, our checks show a strong rebound in Moutai's retail sales in the past 4-6 months with retail sales largely resuming positive YoY.

Immune to raw-material price shocks. Unlike other staple and alcohol companies, we believe Moutai's high margins make it immune to raw-material cost shocks. In addition, utilities and transportation costs appear insignificant to Moutai's margins. We do not see oil shortage as a risk to Moutai's production.

Channel reform to drive 2H26 earnings rebound. We estimate Moutai to accelerate its market share gain in major premium baijiu price ranges (above RMB1,000 per bottle, 600-1,000, 400-600), thanks to:

(1) On-line and off-line integration: Moutai's greater control of Feitian prices has prevented the on-line off-line resell activities (traders buying Feitian on-line and sell them in the off-line). This allows Moutai to better utilize the on-line channel: to enjoy the traffic as well as subsidies from the e-commerce platforms. We believe Moutai is the first mover to embrace e-commerce and quick commerce in the baijiu industry. This should help Moutai take market share from its lagging competitors.

(2) Distributor incentives: Despite Moutai's DTC push, we expect distributors to remain encouraged. The product overhaul of Moutai 1935 and Moutai Prince is proven to be successful, in our view. This facilitates distributors' new sources of earnings, in addition to traditionally only relying on the Feitian. As a result, distributors are now incentivized to promote Moutai's full range of products, based on our checks. Moutai's positive distributor sentiment and margins is a rare trait in today's baijiu industry, and should help Moutai take market share, in our view.

Model updates. The demand shock from adverse policy in 2H25 has led to greater-than-expected impacts on Moutai's 2H25 earnings. We cut our forecasts and DCF-based PT accordingly. Having said that, Moutai's earnings continue to be much more resilient than the >30% YoY decline seen at other baijiu peers. In the longer-term, we continue to believe that Moutai will deliver steady sales growth and operating leverage while freeing up more cash. This should enable a stronger free cash flow CAGR than top-line.

FY (Dec)	2025A	2026E	2027E	2028E
Rev. (MM)	172,054.2	186,192.0	201,255.0	218,583.0
Cons. Rev.	-	190,452.0	201,478.0	208,741.0
Cons. EPS	-	72.45	79.41	85.41
EBITDA (MM)	116,143.6	128,361.0	140,276.3	153,801.0

TARGET | ESTIMATE CHANGE

RATING	BUY
PRICE	Rmb1,458.49 ^a
PRICE TARGET % TO PT	↓ Rmb2,100.00 (Rmb2,300.00) +44%
52W HIGH-LOW	Rmb1,645.00 - Rmb1,322.01
FLOAT (%) ADV MM (USD)	38.5% 741.35
MARKET CAP	CNY1.8T \$268.1B
TICKER	600519 CH

^aPrior trading day's closing price unless otherwise noted.

FY (Dec)	CHANGE TO JEF		JEF vs CONS		
	2026	2027	2026	2027	
REV	-6%	-6%	-2%	NM	
EPS	-7%	-6%	NM	NM	
2026 (RMB)	Q1	Q2	Q3	Q4	FY
EPS	--	--	--	--	↓72.56
PREV					78.26

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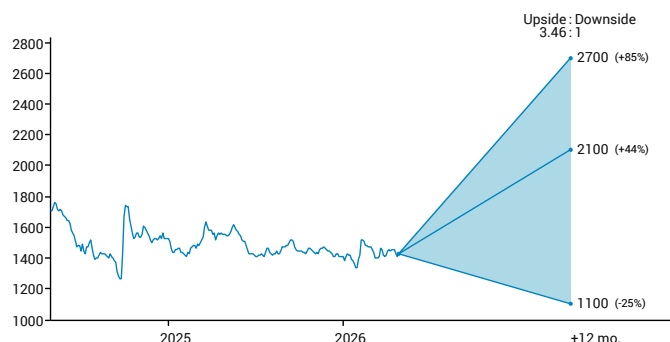
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The Long View: Kweichow Moutai

Investment Thesis

- Moutai is the dominant player in China's super-premium liquor market, with its brand equity among the strongest.
- We estimate Moutai's latest channel strategy (to give the market back to large distributors) will help stabilize the prices of Feitian.
- We forecast mid- to high-single-digit volume growth for the next three years. Price hikes and product mix changes are likely to be the key drivers of sales growth.
- In addition to the flagship Feitian Moutai product, we also expect sustainable growth for peripheral Moutai products, including 1935.

Risk/Reward - 12 Month View



Base Case, CNY2100, +44%

- Macro environment is stable in the longer term. Demand for premium liquor keeps growing amid steady consumer sentiment. Consumers trade up to premium liquor.
- Moutai maintains a substantial gap between Feitian's ex-factory price and wholesale price in preparation for ex-factory price hikes.
- DCF-based price target of RMB2,100.

Upside Scenario, CNY2700, +85%

- Macroeconomic growth is better than expectations. Helped by strong consumer sentiment, premium liquor demand growth accelerates. Increasing number of consumers trade up to premium liquor.
- Moutai raises ex-factory prices more frequently.
- Product mix improves significantly due to increasing sales of super premium Moutai.
- DCF-based price target of RMB 2,700.

Downside Scenario, CNY1100, -25%

- Macroeconomic growth slows down significantly. Consumers' income growth decelerates, and they trade down to cheaper liquor.
- Moutai does not raise prices in the near future; it needs to control supply to support its retail price.
- Product mix downgrade due to lower sales of super-premium Moutai as a result of weak demand.
- DCF-based price target of RMB1,100.

Sustainability Matters

Top Material Issue(s): **1) Food safety and product quality** are the most important for F&B manufacturers. The company adheres to the 'Five Craftsmanship' philosophy and built its '365' quality management system. **2) Environment protection** is also a key issue for baijiu manufacturers as they use water as a major resource and impact the ecosystem around their factories. Natural gas, water, slag, green environment, carbon and other ecological factors all matter. **3) Corruption** is an issue that high-end baijiu companies need to face.

Company Target(s): **1)** Starting from 2014, the company plans to invest RMB50 million per year for 10 consecutive years (RMB500 million in total) for ecosystem protection of the Chishui River basin. Buffer zones and construction-prohibited zones for interim and long-term ecological environment protection have been planned. **2)** Comply with SDGs.

Qs to Mgmt: **1)** How do you balance ecological conservation with the capacity expansion plan? **2)** What level of environmental protection costs do you expect to incur in the mid-long term?

Catalysts

- Ex-factory price hike
- Increase in Feitian retail price
- Traffic growth at direct-to-consumer channels, especially iMoutai

Chart 1 - Moutai: Income statment and balance sheet

Income Statement (600519 CH)								
CNYmn	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	109,464	127,554	150,560	174,144	172,054	186,192	201,255	218,583
Cost of sales	-9,157	-10,199	-11,981	-13,895	-15,068	-16,599	-17,995	-19,547
Gross profit	100,307	117,355	138,579	160,249	156,986	169,593	183,260	199,036
Sales tax	-15,304	-18,496	-22,234	-26,926	-27,354	-29,232	-30,993	-33,006
Sales expense	-2,737	-3,298	-4,649	-5,639	-7,253	-5,476	-5,114	-4,899
Administrative expenses	-8,512	-9,147	-9,887	-9,534	-8,510	-8,958	-9,481	-10,079
Other income (expense)	-159	-104	63	18	72	93	101	109
EBIT	73,594	86,310	101,873	118,168	113,940	126,020	137,771	151,161
Finance income (expense)	935	1,392	1,790	1,470	815	654	764	875
Income from associate	0	0	0	0	0	0	0	0
Profit before tax	74,528	87,701	103,663	119,639	114,755	126,674	138,536	152,036
Income tax	-18,808	-22,325	-26,141	-30,304	-29,445	-32,503	-35,547	-39,011
Minority interest	-3,260	-2,659	-2,787	-3,107	-2,990	-3,301	-3,610	-3,962
Net profit	52,460	62,717	74,734	86,228	82,320	90,870	99,379	109,064
EPS (CNY/share)	41.76	49.93	59.49	68.64	65.74	72.56	79.36	87.09

Balance Sheet (600519 CH)								
CNYmn	2021	2022	2023	2024	2025	2026E	2027E	2028E
Current Assets								
Cash and cash equivalents	186,878	174,447	174,624	186,483	150,787	175,168	199,747	227,473
Inventories	33,394	38,824	46,435	54,343	61,427	67,740	73,500	79,902
Trade and note receivables	-	126	74	2,003	3	3	3	3
Other current assets	494	3,214	4,039	8,897	40,302	40,303	40,303	40,304
Subtotal	220,766	216,611	225,173	251,727	252,519	283,213	313,553	347,682
Non-current assets								
PPE	19,794	21,951	22,047	24,021	24,960	25,356	25,588	25,458
Intangible assets	6,208	7,083	8,572	8,850	8,686	8,690	8,489	8,285
Other non-current assets	8,400	8,855	16,908	14,347	17,671	18,760	19,850	20,939
Subtotal	34,403	37,889	47,527	47,218	51,316	52,806	53,926	54,682
Total assets	255,168	254,501	272,700	298,945	303,835	336,019	367,480	402,364
Current liabilities								
Deposit taking	21,764	12,874	12,034	23,103	18,038	18,038	18,038	18,038
Trade and note payables	2,010	2,408	3,093	3,515	4,007	4,414	4,786	5,199
Advance from customers	14,254	17,451	15,948	10,815	9,002	9,755	10,531	11,427
Other current liabilities	19,886	16,332	17,622	19,083	18,563	20,449	22,169	24,081
Subtotal	57,914	49,066	48,698	56,516	49,610	52,657	55,524	58,745
Non-current liabilities								
Long-term payable	-	-	-	-	-	-	-	-
Lease liabilities	296	334	267	314	190	190	190	190
Deferred tax liabilities	-	163	79	103	76	76	76	76
Subtotal	296	497	346	417	265	265	265	265
Total liabilities	58,211	49,563	49,043	56,933	49,876	52,922	55,789	59,010
Equity								
Share capital	1,256	1,256	1,256	1,256	1,252	1,252	1,252	1,252
Reserves	188,283	196,224	214,412	231,850	243,386	269,222	294,206	321,908
Minorities	7,418	7,458	7,988	8,905	9,321	12,622	16,232	20,194
Total equity	196,958	204,938	223,656	242,011	253,959	283,097	311,690	343,354
Total liabilities and equity	255,168	254,501	272,700	298,945	303,835	336,019	367,480	402,364

Source: Company data, Jefferies estimates

Chart 2 - Moutai: Cash flow statement

Cash flow (600519 CH)								
CNYmn	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash flows from operating activities								
Profit before tax	74,528	87,701	103,663	119,639	114,755	126,674	138,536	152,036
Depreciation and Amortization	1,480	1,611	1,865	1,991	2,204	2,341	2,505	2,640
Working capital changes	7,860	(29,127)	(11,667)	1,919	(24,874)	(3,267)	(2,894)	(3,182)
Income tax	(18,808)	(22,325)	(26,141)	(30,304)	(29,445)	(32,503)	(35,547)	(39,011)
Other operating cash flow	(1,133)	(1,239)	(1,198)	(875)	(1,173)	(1,110)	(1,110)	(1,110)
Subtotal	63,927	36,621	66,521	92,369	61,466	92,135	101,490	111,373
Cash flows from investing activities								
Capital expenditure	(3,409)	(5,307)	(2,620)	(4,679)	(3,128)	(2,720)	(2,515)	(2,286)
Other investing cash flow	(2,154)	(230)	(7,105)	2,894	(28,514)	-	-	-
Subtotal	(5,562)	(5,537)	(9,724)	(1,785)	(31,642)	(2,720)	(2,515)	(2,286)
Cash flows from financing activities								
Changes in bank borrowing	-	-	-	-	-	-	-	-
Dividend paid	(26,476)	(57,370)	(58,755)	(70,951)	(67,242)	(65,033)	(74,395)	(81,362)
Other changes	(88)	(54)	(134)	(116)	(6,185)	-	-	-
Subtotal	(26,564)	(57,425)	(58,889)	(71,068)	(73,427)	(65,033)	(74,395)	(81,362)
Total changes	31,800	(26,340)	(2,093)	19,516	(43,603)	24,381	24,579	27,726

Source: Company data, Jefferies estimates

Company Description

Kweichow Moutai

Kweichow Moutai is the largest liquor manufacturer by sales in 2018 in China. Moutai liquor is the originator and typical representative of China's Koji Jiang fragrance liquor and can only be produced along the Chishui River in Moutai Town, Guizhou Province. Its history can be traced back to the Qing Dynasty, and it was named as a national liquor in 1951. The company has a nationwide distribution network in China and sells to over 100 countries and regions across the world. The company was listed on the Shanghai Stock Exchange in 2001.

Company Valuation/Risks

Kweichow Moutai

We value Kweichow Moutai based on a fundamental DCF approach. Downside risks include unexpected channel destocking, macro slowdown, and food safety issues.

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(Article 3(1)e and Article 7 of MAR)

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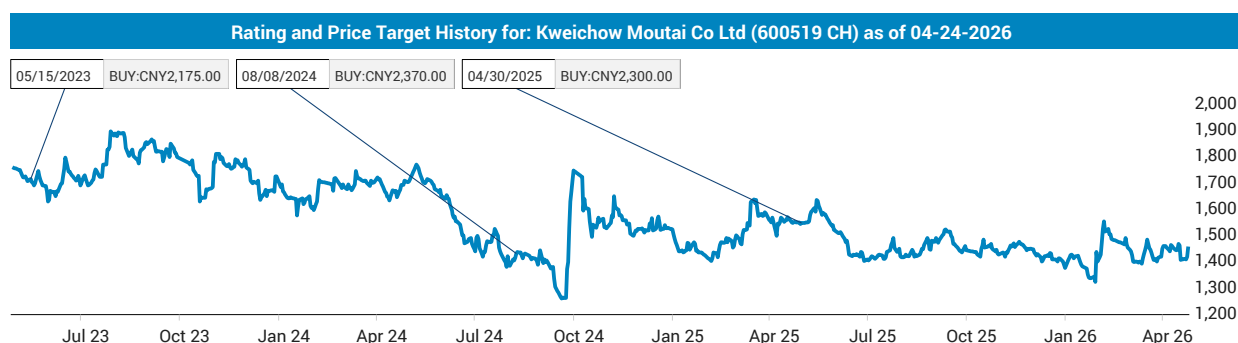
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Other Companies Mentioned in This Report

- Kweichow Moutai Co Ltd (600519 CH: CNY1,458.49, BUY)



Notes: Each box in the Rating and Price Target History chart above represents actions over the past three years in which an analyst initiated on a company, made a change to a rating or price target of a company or discontinued coverage of a company.

Legend:

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D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

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			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2181	61.94%	369	16.92%	110	5.04%
HOLD	1182	33.57%	104	8.80%	17	1.44%
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